2.1

Human Resource Management (HRM)

Cambridge IGCSE Business

- Recruitment Process
- Job Descriptions
- Internal vs External
- Employment Contracts
- Legal Controls
- Training Types

Human Resource Management

HRM is about getting the right people, with the right skills, into the right roles — and keeping them. It covers recruitment, contracts, legal rights and training.

- Understand all stages of the recruitment process
- Know the contents of an employment contract
- Understand key employment laws and their effects
- Compare induction, on-the-job and off-the-job training
- Recommend and justify who to recruit in a given situation

Recruiting & Selecting Employees

Job descriptions · Person specs · Selection methods

Recruitment – The Process & Key Documents

Recruitment is the process of finding and hiring suitable candidates for a job vacancy. Every stage must be carefully planned to find the best person for the role.

The Recruitment Process

Job Analysis
Identify the vacancy and what the role needs

Job Description
List duties, responsibilities and conditions

Person Spec
Skills, qualifications, experience needed

Advertise
Internal or external job advertisement

Applications
CVs, forms, references received

Selection
Interviews, tests, assessment centres

Key recruitment documents:

Job Description

- Title, duties and responsibilities of the role
- Working hours, location and salary range
- Who the employee reports to (line manager)
- Used to: tell candidates what the job involves

Person Specification

- Essential skills, qualifications and experience
- Desirable qualities preferred but not required
- Personal characteristics and attributes needed
- Used to: decide whether a candidate is suitable

Job Advertisement

- Where: job boards, LinkedIn, agency, newspaper
- Must include: role, pay, location, how to apply
- Internal: company noticeboard or intranet
- External: reaches more candidates but costs more

Exam tip: Job description = the JOB. Person specification = the PERSON. You must know the difference and be able to explain what each document contains.

Recruitment Documents – Real Example: Tesco Store Manager

These are the three actual documents Tesco would produce when recruiting a Store Manager. Each document has a different purpose and audience.

Job Description

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JOB DESCRIPTION

Human Resources Department

Job Title: Store Manager — Tesco Superstore
Department: Retail Operations
Location: Milton Keynes Superstore, MK9 2FX
Salary: £45,000 – £55,000 per annum **Hours:** 40 hrs/week

Reports to: Regional Operations Director

Main Duties and Responsibilities

- Lead and manage a team of 180+ colleagues across all departments
- Achieve weekly sales targets and control the store's P&L budget
- Ensure all health and safety regulations are met at all times
- Monitor stock levels, oversee deliveries and manage waste targets
- Conduct staff performance reviews and identify training needs
- Handle customer complaints and resolve escalated issues quickly
- Ensure store presentation meets Tesco standards at all times
- Liaise with regional management and implement company directives

Working Conditions

40 hours per week, including weekends and bank holidays on rotation.
Store opening hours: Monday–Saturday 07:00–22:00, Sunday 10:00–16:00
28 days holiday per year including public holidays · Company pension

Tesco PLC · Tesco House · Shire Park · Welwyn Garden City · AL7 1GA

Person Specification

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PERSON SPECIFICATION

Store Manager — Tesco Superstore

Attribute	Essential ✓	Desirable ★
QUALIFICATIONS		
Degree or equivalent management qualification	✓	
Food hygiene / health & safety certificate	✓	
Retail management diploma or NVQ Level 5		★
EXPERIENCE		
3+ years managing a retail team of 50+ people	✓	
Experience managing store P&L and budgets	✓	
Experience in a large supermarket environment		★
SKILLS		
Strong leadership and people management	✓	
Excellent communication — written and verbal	✓	
Data analysis and IT literate (Excel, SAP)	✓	
Ability to manage multiple priorities at once	✓	
Second language (beneficial for diverse team)		★
PERSONAL QUALITIES		
Calm under pressure — problem-solving mindset	✓	
High personal standards and attention to detail	✓	
Flexible and adaptable to business needs	✓	
Passion for customer service excellence	✓	
Commercial awareness and competitive mindset		★

Essential criteria will be used to shortlist candidates for interview.
Desirable criteria will be used to distinguish between equally qualified candidates.

Tesco PLC · Human Resources · Confidential — Not for Distribution

Job Advertisement

in

LinkedIn Jobs

linkedin.com/jobs/tesco-store-manager

tesco

Store Manager
Tesco · Milton Keynes, England
On-site · Full-time · £45,000–£55,000/yr

Easy Apply

About the role

We are looking for an experienced Store Manager to lead our Milton Keynes Superstore. You will be responsible for a team of 180+ colleagues, driving sales and delivering an outstanding shopping experience for every customer, every day.

What you will need

- ✓ 3+ years retail management experience
- ✓ Proven record of managing large teams (50+)
- ✓ Strong commercial and financial awareness
- ✓ Excellent communication and leadership skills
- ✓ Flexible — including weekends and bank holidays

What Tesco offers

- Competitive salary + annual bonus scheme
- Private healthcare and company pension
- 10% colleague discount in all Tesco stores
- Clear career progression to Regional Manager
- Funded leadership development programme

Apply via LinkedIn or tesco.com/careers by 31 March 2026
Quote reference: TES-SM-MK-2026 · Tesco is an equal opportunities employer

Recruitment – Internal vs External & Selection Methods

Once a vacancy is advertised, the business must choose HOW to recruit — promoting from within (internal) or looking outside (external). Selection then identifies the best candidate.

Internal vs External Recruitment

INTERNAL — promote existing staff

- ✓ Cheaper — no agency fees or advertising costs
- ✓ Faster — candidate already knows the business
- ✓ Motivates other staff who see progression route
- ✗ Limits fresh ideas — no new perspectives brought in
- ✗ Creates another vacancy elsewhere in the business

EXTERNAL — recruit from outside

- ✓ New ideas and skills brought into the business
- ✓ Larger pool of candidates to choose from
- ✓ May find someone more skilled than anyone internal
- ✗ More expensive — advertising, agencies, more interviews
- ✗ Takes longer — new employee has to learn the role

Selection methods:

CV / Résumé

Summary of experience, skills and qualifications

Application Form

Standardised form — easier to compare candidates

Interview

Face-to-face or video — assesses personality and fit

Testing

Aptitude, psychometric or skills tests

Assessment Centre

Group tasks, presentations, role plays over a day

References

Written confirmation of past performance from employer

Exam tip: Recommend who to employ using job description criteria. Justify using SPECIFIC evidence from the case study — don't just say 'more qualified'.

Selection Methods – Real Examples: Tesco Store Manager Application

These are the actual documents and activities Sarah Mitchell encounters as a candidate for the Tesco Store Manager role. Each selection method reveals something different about a candidate.

CV / Résumé

SARAH MITCHELL

sarah.mitchell@email.com · 07712 345 678 · Bristol, UK
linkedin.com/in/sarahmitchell

PROFESSIONAL PROFILE

Experienced retail manager with 5 years leading teams of 40+ in high-footfall environments. Proven track record of exceeding KPIs, driving sales growth and delivering exceptional customer experiences.

WORK EXPERIENCE

Deputy Store Manager — Sainsbury's, Bristol 2021 – Present
- Managed a team of 45 colleagues across all departments
- Increased department sales by 12% in first year
- Responsible for daily P&L reporting and shrinkage control

Section Manager — Tesco, Bristol Extra 2019 – 2021
- Led fresh food section of 18 staff
- Reduced waste by 8% through improved ordering
- Achieved 96% customer satisfaction scores

EDUCATION

BA Business Management — University of Bristol 2016–2019
3 A Levels: Business (A), Economics (B), Maths (B) — St Mary's College

KEY SKILLS

Team Leadership	P&L Management	Stock Control
Customer Service	Microsoft Excel	Health & Safety

REFERENCES

Available on request

Candidate-written · shows experience & skills

Application Form

tesco

APPLICATION FORM

Store Manager — Milton Keynes · Ref: TES-SM-MK-2026

Full Name
Sarah Mitchell

Date of Birth
14/03/1998

Address
22 Avon Way, Bristol, BS1 4JQ

Phone
07712 345 678

Email
sarah.mitchell@email.com

National Insurance No.
AB 12 34 56 C

Why do you want to be a Tesco Store Manager?

Tesco's commitment to customers and community aligns with my values. I am ready to step up to Store Manager after 5 years in retail leadership and believe I can make a real impact in MK.

Describe your most relevant experience for this role

As Deputy Manager at Sainsbury's I managed 45 staff, controlled P&L and drove a 12% sales increase. I have direct experience of all the responsibilities listed in the Tesco job description.

Availability and notice period

Available from 1 May 2026 · One month notice at current employer

Declaration:
I confirm all information above is accurate and complete to the best of my knowledge.

Signed: *Sarah Mitchell* Date: 18/03/2026

Tesco is committed to equal opportunities. This form is processed under GDPR. Ref: HR-TES-2026

Standardised · easier to compare all candidates

Interview Questions

INTERVIEW — Tesco

Store Manager · Panel Interview · 45 minutes

Format: 2 interviewers (HR Manager + Regional Ops Director)
Face-to-face at Milton Keynes store · 45 minutes · Structured questions

Interview Questions

Q1: Background
Tell us about yourself and why you want this role.

Q2: Competency — Leadership
Describe a time you motivated an underperforming team member.

Q3: Situational
How would you handle a serious H&S breach in the store?

Q4: Commercial Awareness
You're told to cut costs by 8% this quarter. What do you do?

Q5: Customer Focus
How do you ensure every customer leaves satisfied?

Q6: Motivation
Where do you see yourself in 3 years at Tesco?

Q7: Candidate questions
What questions do you have for us?

STAR method: Situation · Task · Action · Result
Use specific examples with measurable outcomes

Panel · 45 mins · competency & situational Qs

Selection Methods – Real Examples: Tesco Store Manager Application

These are the actual documents and activities Sarah Mitchell encounters as a candidate for the Tesco Store Manager role. Each selection method reveals something different about a candidate.

Aptitude / Psychometric Tests

SELECTION TESTING — Tesco

Store Manager · Online Assessment · 60 minutes

Section 1 — Numerical Reasoning (20 mins)

Q1: A Tesco store made £480,000 sales in April. May sales increased by 7.5%. What were May's sales?

A) £510,000
B) £516,000 ✓
C) £524,000

Section 2 — Verbal Reasoning (20 mins)

Passage: "Store managers at Tesco are responsible for maintaining standards. All managers attend monthly reviews."

Q2: Do ALL managers attend monthly reviews?

A) True ✓
B) False
C) Cannot say

Section 3 — Situational Judgement (20 mins)

Q3: A colleague tells you that a colleague is stealing. You have no direct evidence. What do you do FIRST?

A) Confront the accused colleague directly
B) Report to HR following the formal procedure ✓
C) Watch the colleague closely yourself
D) Tell other managers what you heard

Your score: 78/100 — ABOVE THRESHOLD

Tesco threshold: 65+ · Top performers: 80+

78%

Tests are standardised — all candidates sit identical papers

Tesco uses SHL psychometric assessments online

Online · numerical · verbal · situational judgement

Assessment Centre

ASSESSMENT CENTRE — Tesco

Store Manager · Head Office, Welwyn · Full Day (9am–4pm)

Day Schedule (6 candidates, 3 assessors)

09:00	**Welcome briefing and introductions** — Administration
09:30	**In-tray exercise — prioritise 12 urgent st**ore issues
10:30	**Group task: plan a store relaunch on limit**ed budget
11:30	**Individual presentation: 'How I would impr**ove customer NPS'
12:30	**Working lunch with assessors (observed)** — Social observation
13:30	**Role play: handle an angry customer compla**int
14:30	**Competency-based interview (45 mins, 1:1)** — Formal interview
15:15	**Written exercise: analyse mystery shopper** report
16:00	**Debrief and close** — Administration

Assessors observe: leadership · communication · problem-solving

commercial awareness · team skills · Tesco values alignment

Full day · group tasks · role play · presentation

Reference Letter

sainsbury's

REFERENCE

Sainsbury's Supermarkets Ltd · 33 Holborn, London EC1N 2HT · CONFIDENTIAL

18 March 2026

To Whom It May Concern — Tesco Recruitment Team

Re: Sarah Mitchell — Store Manager Application

I am pleased to provide this reference for Sarah Mitchell, who worked under my management as Deputy Store Manager at our Clifton, Bristol Sainsbury's from January 2021 to present.

Sarah consistently demonstrated outstanding leadership skills, managing a team of 45 across fresh, ambient and GM departments. In her time here she increased department sales by 12%, reduced colleague turnover from 28% to 18% and received two consecutive 'store of the region' commendations in 2023 and 2024.

Sarah has excellent commercial awareness, a calm temperament under pressure and an exceptional ability to motivate others. She has handled complex HR matters with complete professionalism and is trusted by both colleagues and senior management.

I have no hesitation in recommending Sarah for the Store Manager position. I believe she is ready for this step and will thrive in the role. Please do not hesitate to contact me if you require any further information.

Yours sincerely,

James Okafor
Store Manager, Sainsbury's Clifton, Bristol
james.okafor@sainsburys.co.uk · 0117 946 2200

OFFICIAL REFERENCE
Sainsbury's HR

Confidential — for recruitment purposes only · GDPR compliant

Sainsbury's Supermarkets Ltd · Registered in England No. 3261722

From previous employer · confirms performance

Exam tip: CV and application form come FIRST — used to shortlist. Interviews, tests and assessment centres come LATER — used to choose between shortlisted candidates.

Employment Contracts & Legal Controls

Rights · Responsibilities · Laws

Employment Contracts – Contents & Benefits

An employment contract is a legally binding agreement between the employer and employee. It sets out the terms and conditions of the job.

Employment Contract

Duties & Responsibilities
What the employee must do in their role

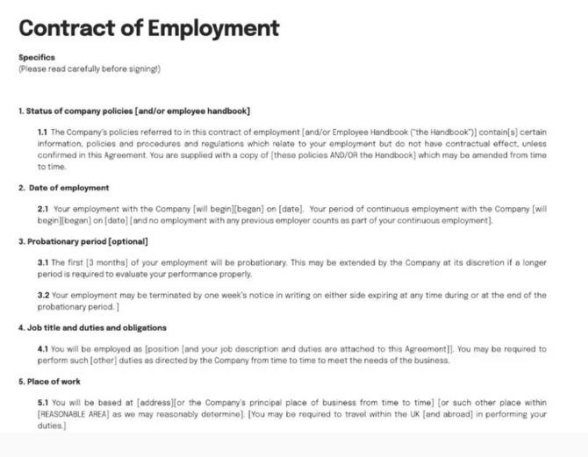
Working Hours
35 hrs/week · overtime rates

Holiday Entitlement
28 days per year (UK minimum)

Sick Pay
Statutory sick pay + company policy

Notice Period
1 week (min) · usually 1 month

Salary
£28,000 per annum · paid monthly



Contract of Employment

Specifics
(Please read carefully before signing!)

1. Status of company policies [and/or employee handbook]

1.1 The Company's policies referred to in this contract of employment [and/or Employee Handbook ("the Handbook")] contain[s] certain information, policies and procedures and regulations which relate to your employment but do not have contractual effect, unless confirmed in this Agreement. You are supplied with a copy of [these policies AND/OR the Handbook] which may be amended from time to time.

2. Date of employment

2.1 Your employment with the Company [will begin][began] on [date]. Your period of continuous employment with the Company [will begin][began] on [date] [and no employment with any previous employer counts as part of your continuous employment].

3. Probationary period [optional]

3.1 The first [3 months] of your employment will be probationary. This may be extended by the Company at its discretion if a longer period is required to evaluate your performance properly.

3.2 Your employment may be terminated by one week's notice in writing on either side expiring at any time during or at the end of the probationary period.]

4. Job title and duties and obligations

4.1 You will be employed as [position [and your job description and duties are attached to this Agreement]]. You may be required to perform such [other] duties as directed by the Company from time to time to meet the needs of the business.

5. Place of work

5.1 You will be based at [address][or the Company's principal place of business from time to time] [or such other place within [REASONABLE AREA] as we may reasonably determine]. [You may be required to travel within the UK [and abroad] in performing your duties.]

Benefits for Employers

- Clarity on duties — reduces disputes about role
- Legal protection if employee underperforms

Benefits for Employees

- Guarantees pay, hours and holiday entitlement
- Legal protection against unfair treatment
- Clear expectations — no surprises about the role

Exam tip: Employment contracts protect BOTH parties. For employers: clarity and legal cover. For employees: guaranteed rightsand fair treatment.

Legal Controls Over Employment

Legal Controls Over Employment

Unfair Dismissal	Discrimination	Health & Safety	Minimum Wage	Parental Leave	Contracts
Cannot fire without valid reas	Cannot discriminate: age, gen	Safe workplace · risk assessm	UK NLW: £12.21/hr (25+)	Maternity/paternity rights	Written statement within 2 mor
Employment Rights Act 199	race, disability, religion	H&S at Work Act 1974	Can't pay below legal minimu	statutory pay entitlements	of starting employment

Exam tip: Employment contracts protect BOTH parties. For employers: clarity and legal cover. For employees: guaranteed rightsand fair treatment.

Training

Induction · On-the-job · Off-the-job

Training – Why It Matters & Three Types

Training improves workers' skills, knowledge and productivity. It also motivates employees by showing the business invests in their development.

Three Types of Training

Induction Training

For new employees only
Introduces the business, health & safety, rules and colleagues

- ✓ Settles new staff quickly
- ✓ Reduces early mistakes
- ✗ Expensive and time-consuming
- ✗ Productivity lost initially

On-the-Job Training

Learning while doing the work
Supervisor watches and guides in the actual workplace

- ✓ Low cost — no external trainer
- ✓ Specific to this job role
- ✗ Bad habits may be passed on
- ✗ Trainer's time is taken up

Off-the-Job Training

Away from the workplace
College, courses, workshops external specialist trainers

- ✓ Taught by experts
- ✓ Wider skills and qualifications
- ✗ Expensive — fees plus lost time
- ✗ Skills may not fit this job exactly

Why training is important:

- Higher productivity — skilled workers produce more
- Better quality — fewer errors and defects
- Motivates staff — feel valued and developed
- Adapt to new technology and changing processes
- Reduces mistakes that cause accidents or legal issues

Cost of NOT Training

- New employees make expensive mistakes
- Poor quality — customer complaints and returns
- Staff turnover rises — workers leave for better-trained rivals
- Inability to adapt to new technology or methods
- Legal liability if untrained staff cause accidents

Exam tip: Induction = for NEW staff. On-the-job = learning by doing at work. Off-the-job = away from workplace, taught by experts. Know pros and cons of all three.

Key Revision Checklist – 2.1 Human Resource Management

Recruitment stages	Job analysis → Job description → Person spec → Advertise → Applications → Selection (CV, interview, test, references)
Int. vs Ext.	Internal: cheaper, faster, motivates others but no new ideas. External: new skills, larger pool but expensive and slower
Job Description	Describes the JOB: title, duties, hours, pay, location. Used to attract suitable candidates
Person Spec	Describes the PERSON: essential/desirable skills, qualifications, experience. Used to shortlist and select
Employment Contract	Legally binding: duties, hours, pay, holidays, sick pay, notice period. Protects both employer and employee
Legal Controls	Unfair dismissal, discrimination (Equality Act), health & safety, national minimum wage, parental leave
Induction	For new staff: introduces role, H&S, colleagues. Expensive short-term but reduces mistakes and turnover long-term
On-the-job	Learning while working — low cost, role-specific, productive. Risk: bad habits passed on, trainer's time lost
Off-the-job	Away from workplace — expert teaching, broader skills. But expensive, and skills may not directly apply